

terrible. From 1980 through 2001, if you had bought the average IPO at its first public closing price and held on for three years, you would have underperformed the market by more than 23 percentage points annually.⁹

Perhaps no stock personifies the pipe dream of getting rich from IPOs better than VA Linux. “LINUX THE NEXT MSFT,” exulted an early owner; “BUY NOW, AND RETIRE IN FIVE YEARS FROM NOW.”¹⁰ On December 9, 1999, the stock was placed at an initial public offering price of \$30. But demand for the shares was so ferocious that when NASDAQ opened that morning, none of the initial owners of VA Linux would let go of any shares until the price hit \$299. The stock peaked at \$320 and closed at \$239.25, a gain of 697.5% *in a single day*. But that gain was earned by only a handful of institutional traders; individual investors were almost entirely frozen out.

More important, buying IPOs is a bad idea because it flagrantly violates one of Graham’s most fundamental rules: No matter how many other people want to buy a stock, you should buy only if the stock is a cheap way to own a desirable business. At the peak price on day one, investors were valuing VA Linux’s shares at a total of \$12.7 billion. What was the company’s business worth? Less than five years old, VA Linux had sold a cumulative total of \$44 million worth of its software and services—but had lost \$25 million in the process. In its most recent fiscal quarter, VA Linux had generated \$15 million in sales but had lost \$10 million on them. This business, then, was losing almost 70 cents on every dollar it took in. VA Linux’s accumulated deficit (the amount by which its total expenses had exceeded its income) was \$30 million.

If VA Linux were a private company owned by the guy who lives next door, and he leaned over the picket fence and asked you how much you would pay to take his struggling little business off his hands, would you answer, “Oh, \$12.7 billion sounds about right to me”? Or would you, instead, smile politely, turn back to your barbecue grill, and wonder what on earth your neighbor had been smoking? Relying exclusively on our own judgment, none of us would be caught dead agreeing to pay nearly \$13 billion for a money-loser that was already \$30 million in the hole.

But when we’re in public instead of in private, when valuation suddenly becomes a popularity contest, the price of a stock seems more important than the value of the business it represents. As long as someone else will